

they can be used as fund-raising tools for startups. In the last two years, there has been a wave of entrepreneurs that bypassed venture capitalists and instead chose to raise startup capital via these methods.

As with any new model, there are questions about legality and sustainability, but the Silicon Valley ethos of “break things first, then ask for forgiveness” has found its way to Wall Street. Professionals who are involved in all aspects of fund-raising—from venture capital to capital markets—will find the discussion of these new methods of raising capital riveting, maybe even a little frightening.

The final chapter of my book *The Bitcoin Big Bang* was titled “Everything You Know About Business Is Wrong,” and it previews what Chris and Jack have identified as a game-changing development in the way capital is raised and distributed. Self-funded, decentralized organizations are a new species in the global economy that are changing everything we know about business. A cryptoasset as the fuel for a decentralized organization not only changes the organizational chart, it also rearranges incentive structures.

These new organizations are altering the way software is developed. Cryptoassets have inverted the value creation structure that worked so well during the development of the Internet. These so-called fat protocols are self-funding development platforms that create and gain value as applications are built on top. This is an entirely new paradigm for open-source projects that incentivizes developers to build socially useful projects.